



GROWTH GURUS: (From left) Gokarn, Acharya, Purie, Ranade, Debroy and Roy

The setting seemed perfect for the Board of INDIA TODAY Economists (BITE)—which was set up in October 2002 to help us analyse and give perspective for our readers—to review the hopes and fears. The consensus was that the economy was bound to slow down, given the odds against sustainable high growth. The litany of reasons may trigger a sense of déjà vu, but it also endorses the popular perception that growth has been despite politics. Indeed the BITE panel believes that while growth will survive politics, it will be sub-prime, below the double-digit potential. Thanks, predictably, to politics.

Is the economy slowing down?

WHAT IS HURTING GROWTH?

Subir Gokarn: I think the slowdown has to be seen in the context of the policy regime that we have been following for the past two years. RBI started raising interest rates in October 2004. This week, it will be the third anniversary of RBI's tightening cycle, and with the exception of a few quarterly announcements in between, it has more or less persisted with that tightening. The logic of the central bank's anti-inflationary policy is starting to be validated over the

Why does the economy have to slow down? Why can't we sustain 9-per cent growth?

AROON PURIE, EDITOR-IN-CHIEF, INDIA TODAY

past few months and clearly, it will persist for a while. The question is whether you can achieve what you want, which is to bring the economy from a somewhat over-extended state to a more sustainable combination of growth and inflation. What we see this year as a GDP growth decline from 9.4 per cent to, perhaps, something between 8 and 9, is really a soft landing. I would not call it a slowdown in the sense that it is not an uncontrolled or unanticipated reaction to policy changes that have been made in the last few quarters.

Siddhartha Roy: Two things have happened. One, interest rates have gone up. Second, liquidity has come down because we have raised the CRR and other things. So in some sectors—automobile, particularly commercial vehicles—demand has come down dramatically. The same has happened in EMI-driven sectors like consumer durables. Now, the third issue is that with exchange rates hardening, exports are also affected. If you look at the entire picture, industrial growth is going to slow down a little bit.

Shankar Acharya: We see consumption has been hit. Will investment be impacted? Well, logically, of course, if consumption goes down, sales go down, you would expect some dramatic feedback loop into investment. But, so far, the investment data that one has seen is still very buoyant. I saw increases in the range of 12-14 per cent in the last two-three years in real fixed investment terms. That is very strong, though one does not have the latest data. Another dimension that worries me more than interest rates is the international economic situation. What is going to be the implication of this whole sub-prime credit confidence problem in the global economy on India? I would lean towards the view that if the US economy really slows down significantly, Asian economies will be hurt. The question is how much. We may be hurt less than China, but we will be hurt, particularly when our exchange rate is appreciating.

Bibek Debroy: I think this is the only instance in the world where one has tried to cool down what, I think, was already an under-heated economy. It is like having a signal on a fly-over, like in Bangalore. There are two effects, both of which have been mentioned. One is the interest rate hike and the other is the exchange rate appreciation that has led to an export slowdown. Are we heading towards a slowdown? Yes. I think this tightening of interest rates was completely unwarranted. The issue is not whether growth can survive politics? It is: can politics survive growth?

Prabhu Chawla: Everybody says there is some kind of a slowdown. But much of the discussion is about the supply side. If you are growing at 9 per cent or 9.5 per cent in terms of GDP, there should be demand creation also. Why is India unable to create demand?

Ajit Ranade: Something is not quite right with the composition of demand across sections. Therefore this concern about increasing inequality despite rising incomes across all